

Appendix 2

In this Appendix underlining indicates new text and striking through indicates deleted text.

Some text that is not being amended is included for information only.



The DFSA Rulebook

Conduct of Business Module

(COB)

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General requirements

- 6.11.2** (1) An Authorised Firm which holds or controls Client Money must comply with sections 6.12 and 6.14.
- (2) An Authorised Firm which holds or controls Client Investments or Client Crypto Tokens or Provides Custody must comply with sections 6.13 and 6.14.
- (3) An Authorised Firm which Arranges Custody must comply with the requirements in Rule A6.5.1A (on suitability of non-DIFC custodians) and A6.7.1(1) (on disclosure) in APP 6 and in section 6.14 (Record keeping).

Guidance

1. An Authorised Firm subject to Rule 6.11.2(1) will include an ATS Operator, where it holds or controls Client Money.
2. Where an Authorised Firm ~~holds or controls Client Investments which are Investment Tokens, or~~ Provides Custody in relation to Investment Tokens, it must comply with the requirements in section 14.3 (in addition to those in sections 6.13 and 6.14).
3. Where an Authorised Firm Provides Custody of Crypto Tokens, it must comply with the requirements in section 15.4 (in addition to those in sections 6.13 and 6.14).

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- 6.14.1** (1) An Authorised Firm must maintain records:
- (a) which enable the Authorised Firm to demonstrate compliance with COB Rule 6.11.2; and
 - (b) which enable the Authorised Firm to demonstrate and explain all entries of Client Investments, Client Crypto Tokens and Collateral held or controlled in accordance with this chapter.
- (2) An Authorised Firm must keep the records in (1) ~~Records must be kept~~ for a minimum of six years.

Guidance

1. The DFSA expects an Authorised Firm to maintain proper books and accounts which are legible, up to date and contain narratives with the entries which identify and provide adequate information about each transaction.
2. An Authorised Firm should maintain a separate record for each Client showing the amount and description of each Crypto Token held in custody, information about the type of storage (such as cold or hot storage, or location of storage) and the date, amount and purpose of each transfer of a Client Crypto Token.

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- 15.4.5** (1) If an Authorised Firm that Provides Custody of Crypto Tokens is responsible for an unauthorised or incorrectly executed transfer of Client Crypto Tokens, it must address the situation promptly and within three business days put the Client's account back in the position it would have been in if the transfer had not taken place or had been executed correctly (as applicable).
- (2) For the purpose of (1), an Authorised Firm must have in place:
- (i) adequate policies and procedures to enable it to identify and rectify any unauthorised or incorrectly executed transfer of Client Crypto Tokens; and
 - (ii) an adequate compensation arrangement to cover potential losses in the event that an unauthorised or incorrectly executed transfer of Client Crypto Tokens cannot be reversed.
- (3) An Authorised Firm must review the measures it has taken to comply with its obligations in (2) at least annually to ensure they are adequate.

Guidance

The DFSA considers that the compensation arrangement in Rule 15.4.5(2)(ii) should make adequate provision for Clients to be compensated, taking into account the risks associated with the Custody of Crypto Tokens. These arrangements can take various forms, such as third party insurance, funds (deposits or Crypto Tokens) that are set aside on trust and designated for such purposes, bank guarantees or a combination thereof.

- 15.4.6** (1) An Authorised Firm that Provides Custody of Crypto Tokens must provide the following information to the DFSA in respect of each calendar quarter:
- (a) the number of unauthorised or incorrectly executed transfers of Client Crypto Tokens;
 - (b) the total value of transfers falling under (a);
 - (c) the number and total value of transfers falling under (a) that have been reversed successfully; and
 - (d) the total amount of compensation paid to Clients for unauthorised or incorrectly executed transfers of Client Crypto Tokens.
- (2) An Authorised Firm must provide the information in (1) within two weeks from the end of the relevant quarter.

- 15.4.67** (1) An Authorised Firm that Provides Custody of Crypto Tokens may restrict or stop a Client's access to its service only:
- (a) as explicitly set out in the Client Agreement; and
 - (b) on reasonable grounds, including for example for valid security reasons or suspected unauthorised or fraudulent use of the service.

- (2) An Authorised Firm must restore access to the service, or offer another service, as soon as practicable after the reasons for restricting or stopping use of the service cease to be valid.

15.4.78 If an Authorised Firm that Provides Custody of Crypto Tokens becomes aware of a major operational or security incident, it must inform Clients without delay of the incident and the measures it is taking to limit the adverse effects of the incident.

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Lending and staking

15.6.5 (1) An Authorised Firm must not offer or provide any facility or service that allows a Client to lend a Crypto Token to the Authorised Firm or to another person ~~unless it is reasonably satisfied that:~~

(2) The restriction in (1) does not apply to:

(a) an Authorised Firm that is authorised to Provide Custody, if:

(i) the Crypto Token is not a Prohibited Token;

(ii) the Authorised Firm is reasonably satisfied that:

~~(a)~~(A) the Client is a Professional Client or Market Counterparty; and

~~(b)~~(B) the lending is solely for the purpose of staking; and

(iii) the requirements in (3) have been met; or

~~(2) The restriction in (1) does not apply to~~

~~(b) the provision of any Crypto Token to the Authorised Firm as Collateral.~~

(3) Before offering or providing any facility or service under (2)(a), the Authorised Firm must:

(a) undertake due diligence on the borrower to satisfy itself, on reasonable grounds, that the borrower is suitable and provides an appropriate level of protection for the Client, taking into account the following factors:

(i) the borrower's:

(A) governance and internal controls;

(B) financial status;

(C) compliance with relevant applicable legal requirements;

(ii) the infrastructure used and security measures and procedures applied by the borrower when staking; and

(iii) the amount of Crypto Tokens staked by the borrower on its own nodes;

- (b) provide the Client with a statement that explains the risks of staking in plain language and includes at least the following information:
 - (i) details of the staking mechanism and the role of all third parties involved;
 - (ii) details of the due diligence performed under (a);
 - (iii) the general risks related to staking, including risk of loss due to technical errors or bugs in the protocol; hacks or theft of the Crypto Tokens, and how losses will be allocated to Clients;
 - (iv) bonding and unbonding periods and what this might mean if a Client cannot withdraw their Staked Crypto Tokens;
 - (v) fees and charges; and
 - (vi) how rewards are calculated, and how they are paid out to Clients; and
- (c) obtain the written consent of the Client to transfer the Crypto Token to the borrower for staking.
- (4) The requirement to undertake due diligence under (3)(a) does not apply where the Authorised Firm is the borrower.
- (5) An Authorised Firm must inform its Client within a reasonable timeframe of any change to the information in (3)(b).
- (6) In this Rule, “staking” means participating in the proof-of-stake consensus mechanism on the DLT or other similar technology that hosts the relevant Crypto Token.

Guidance

Staking refers to the activity where holders of Crypto Tokens lend their Tokens to firms, miners or other persons, in exchange for a return or other reward for the use of the Tokens. Rule 15.6.5 permits an Authorised Firm to offer or provide such a service or facility only if the lending is for use in a proof-of-stake consensus mechanism i.e. a process that involves committing Crypto Tokens to support a blockchain network and confirm transactions. In addition, such a service or facility may be offered or provided only to Professional Clients or Market Counterparties, and where the Authorised Firm meets the additional requirements in Rule 15.6.5(3).

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A6.4 Client accounts in relation to Client Investments or Client Crypto Tokens

A6.4.1 An Authorised Firm which Provides Custody or holds or controls Client Investments or Client Crypto Tokens must register or record all Safe Custody Investments in the legal title of:

- (a) a Client Account; or

- (b) the Authorised Firm where, due to the nature of the law or market practice, it is not feasible to do otherwise.

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Guidance

1. An Authorised Firm may record, register or hold a Client's Investment or Crypto Token in a Client Account solely for that Client. Alternatively, an Authorised Firm may choose to pool that Client's Investment or Crypto Token in a Client Account containing Investments or Crypto Tokens of more than one Client.
2. The purpose of recording, registering or holding Investments or Crypto Tokens in a Client Account is to ensure that Investments or Crypto Tokens belonging to Clients are readily identifiable from Investments or Crypto Tokens belonging to the Authorised Firm such that, following a Distribution Event, any subsequent distribution of Investments or Crypto Tokens may be made in proportion to each Client's valid claim over those Investments or Crypto Tokens.
3. Following a Distribution Event, a Client may not have a valid claim over Investments or Crypto Tokens registered, recorded or held in a Client Account if that Client Account was not established to register, record or hold Investments or Crypto Tokens for that Client or a pool of Clients of which that Client was a part.

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A6.5.2 An Authorised Firm must be able to demonstrate to the DFSA's satisfaction the grounds upon which the Authorised Firm considers the Third Party Agent or a non-DIFC custodian to be suitable to hold Safe Custody Investments or Safe Custody Crypto Tokens.

Guidance

1. When assessing the suitability of a Third Party Agent, an Authorised Firm should have regard to:
 - a. its credit rating;
 - b. its capital and financial resources in relation to the amount of Safe Custody Investments or Safe Custody Crypto Tokens held;
 - c. the insolvency regime of the jurisdiction in which it is located;
 - d. its arrangements for holding the Investments or Crypto Tokens;
 - e. its regulatory status, expertise, reputation and history;
 - f. its Group structure;
 - g. its use of agents and service providers; and
 - h. any other activities of the agent.
2. When assessing the suitability of a Third Party Agent to hold Safe Custody Crypto Tokens, an Authorised Firm should have regard to the following additional factors:
 - a. whether the Third Party Agent is authorised and supervised by a Financial Services Regulator to provide custody of Crypto Tokens;

- b. its policies and procedures for the storage of Crypto Tokens, including the type of storage, safety of the keys and the measures put in place to protect the keys from hacking, theft or fraud; and
- c. the robustness of its custodial technologies.

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A6.7 Client disclosure

- A6.7.1** (1) Before an Authorised Firm Arranges Custody for a Client it must disclose to that Client, if applicable, that the Client's Safe Custody Investments or Safe Custody Crypto Tokens may be held in a jurisdiction outside the DIFC and the market practices, insolvency and legal regime applicable in that jurisdiction may differ from the regime applicable in the DIFC.
- (2) Before an Authorised Firm Provides Custody for a Client it must disclose to the Client on whose behalf the Safe Custody Investments or Safe Custody Crypto Tokens will be held:
- (a) a statement that the Client is subject to the protections conferred by the Safe Custody Provisions;
 - (b) the arrangements for recording and registering Safe Custody Investments or Safe Custody Crypto Tokens, claiming and receiving dividends and other entitlements and interest and the giving and receiving instructions relating to those Safe Custody Investments or Safe Custody Crypto Tokens;
 - (c) the method of storing Safe Custody Crypto Tokens, including, where applicable, the different types of wallets used, the mechanism for transfers between different types of methods of storing, together with an assessment of the risk associated with the method used;
 - (d) the compensation arrangements under Rule 15.4.5(2)(ii) for unauthorised or incorrectly executed transfers of Safe Custody Crypto Tokens;
 - (e) the obligations the Authorised Firm will have to the Client in relation to exercising rights on behalf of the Client;
 - ~~(d)~~(f) the basis and any terms governing the way in which Safe Custody Investments will be held, including any rights which the Authorised Firm may have to realise Safe Custody Investments or Safe Custody Crypto Tokens held on behalf of the Client in satisfaction of a default by the Client;
 - ~~(e)~~(g) the method and frequency upon which the Authorised Firm will report to the Client in relation to his Safe Custody Investments or Safe Custody Crypto Tokens;
 - ~~(f)~~(h) if applicable, a statement that the Authorised Firm intends to mix Safe Custody Investments or Safe Custody Crypto Tokens with those of other

Clients together with an explanation of the risks arising from the mixing of such investments or tokens;

- ~~(g)~~(i) if applicable, a statement that the Client's Safe Custody Investments or Safe Custody Crypto Tokens may be held in a jurisdiction outside the DIFC and the market practices, insolvency and legal regime applicable in that jurisdiction may differ from the regime applicable in the DIFC;
- ~~(h)~~(j) if applicable, a statement that the Authorised Firm holds or intends to hold Safe Custody Investments or Safe Custody Crypto Tokens in a Client Account with a Third Party Agent which is in the same Group as the Authorised Firm; and
- ~~(i)~~(k) the extent of the Authorised Firm's liability in the event of default by a Third Party Agent.

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A6.9 Reconciliation

A6.9.1 An Authorised Firm must:

- (a) at least every 25 business days, reconcile its records of Client Money and Safe Custody Investment Client Accounts held with Third Party Agents with monthly statements received from those Third Party Agents;
- (b) reconcile daily its records of Safe Custody Crypto Token Client Accounts held with Third Party Agents with monthly statements received from those Third Party Agents;
- ~~(c)~~ at least every six months, count all Safe Custody Investments ~~or Safe Custody Crypto Tokens~~ physically held by the Authorised Firm, or its Nominee Company, and reconcile the result of that count to the records of the Authorised Firm; ~~and~~
- ~~(d)~~ count daily all Safe Custody Crypto Tokens physically held by the Authorised Firm, or its Nominee Company, and reconcile the result of that count with the records of the Authorised Firm;
- ~~(e)~~(e) at least every six months, reconcile individual Client ledger balances with the Authorised Firm's records of Safe Custody Investment ~~or Safe Custody Crypto Token~~ balances held in Client Accounts; ~~and~~
- (f) reconcile daily individual Client ledger balances with the Authorised Firm's records of Safe Custody Crypto Token balances held in Client Accounts.

A6.9.2 An Authorised Firm must ensure that the process of reconciliation does not give rise to a conflict of interest.

Guidance

An Authorised firm should maintain a clear separation of duties to ensure that an employee with responsibility for operating Client Accounts, or an employee that has authority over Safe Custody Investments or Safe Custody Crypto Tokens, should not perform the reconciliations under Rule A6.9.1.

- A6.9.3** (1) Reconciliation performed in accordance with section A6.9 must be reviewed by a member of the Authorised Firm who has adequate seniority.
- (2) The individual referred to in (1) must provide a written statement confirming that the reconciliation has been undertaken in accordance with the requirements of this section.
- A6.9.4** The Authorised Firm must notify the DFSA where there have been material discrepancies with the reconciliation which have not been rectified.

Guidance

A material discrepancy includes discrepancies which have the cumulative effect of being material, such as longstanding discrepancies.